

GOV-02: Carrington Storm Motors — State and Local Government Strategy

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1.0 EXECUTIVE SUMMARY

State and local governments represent a \$700M+ addressable market for CSM over 10 years. While individual state procurements are smaller than federal contracts, they are often faster (6-12 months vs. 18-36 months for federal), more numerous (50 states × multiple agencies each), and less prone to the political gridlock that can delay federal programs.

State energy offices, public utility commissions, emergency management agencies, municipal utilities, and state transportation departments all have procurement authority for grid resilience equipment. Additionally, FEMA grant programs (BRIC, HMPG) flow through state governments, making them the pass-through for significant federal funding.

This document outlines CSM’s state and local government strategy, including pilot state identification, procurement processes, grant program navigation, and the 50-state outreach program (a subset of CSM’s 200-country CSMReach network).

2.0 STATE GOVERNMENT TARGETING

2.1 High-GIC-Exposure States (Priority Tier 1)

States with the highest geomagnetic latitude (northern US) and/or igneous rock geology (shield areas) face the greatest GIC risk:

State	GIC Risk	Key Agencies	State Procurement Process
Minnesota	VERY HIGH	MN Dept. of Commerce (Energy), MN Public Utilities Commission	Competitive RFP; PUC-regulated utility procurement
Wisconsin	VERY HIGH	WI Public Service Commission	PUC-regulated
Michigan	HIGH	MI Public Service Commission	PUC-regulated
New York	HIGH (NYPA, ConEd)	NYSERDA, NY Public Service Commission	NYSERDA innovation programs; PUC
North Dakota	VERY HIGH	ND Public Service Commission	PUC-regulated
Montana	VERY HIGH	MT Public Service Commission	PUC-regulated
Washington	HIGH	WA Utilities and Transportation Commission	PUC-regulated
Oregon	HIGH	OR Public Utility Commission	PUC-regulated
Maine	VERY HIGH	ME Public Utilities Commission	PUC-regulated
New Hampshire	HIGH	NH Public Utilities Commission	PUC-regulated

2.2 High-Economic-Impact States (Priority Tier 2)

States with large populations, significant GDP, and/or major financial/political centers — where the economic impact of a grid failure would be largest:

State	Rationale	Key Agency
California	Largest state economy (\$3.9T); PG&E wildfire/blackout history; proactive on grid resilience	CA Energy Commission, CA Public Utilities Commission
Texas	Second-largest economy; ERCOT independence/isolation; post-2021 winter storm grid awareness	TX Public Utility Commission, ERCOT
Florida	Hurricane resilience programs; large population; high grid dependency for AC	FL Public Service Commission
Illinois	Major grid hub (ComEd); northern GIC exposure	IL Commerce Commission
Pennsylvania	Major grid hub (PJM Interconnection HQ); dense infrastructure	PA Public Utility Commission

2.3 Pilot State Candidates

State	Pilot Rationale	Target Agency
Minnesota	Highest GIC exposure; progressive energy policy; strong utility relationships	MN Dept. of Commerce, MN PUC
New York	NYSERDA funding for grid innovation; NYPA large-scale utility; financial center (Wall Street needs the grid)	NYSERDA, NYPA
California	Largest state budget for resilience; wildfire→grid resilience awareness; large utility procurement	CA Energy Commission, CPUC
Texas	Independent grid (ERCOT); post-Uri resilience awareness; large utility market	TX PUC, ERCOT
Washington	High GIC exposure; tech industry (Microsoft, Amazon HQ — data centers need grid); progressive energy policy	WA UTC

3.0 MUNICIPAL AND LOCAL GOVERNMENT

3.1 Municipal Utilities

2,000+ municipal utilities in the US serve 15% of the population. They are locally governed (city council or utility board), making procurement faster than state-regulated utilities.

CSM Municipal Strategy: - Partner with American Public Power Association (APPA) for collective procurement - Offer volume discounts for municipal utility consortia - Municipal leasing program (spread hardware cost over 5-10 years through municipal bonds or lease-purchase)

3.2 Rural Electric Cooperatives

900+ rural electric co-ops (NRECA members) serve 42 million Americans across 56% of the US landmass. Many are in high-GIC-exposure regions (northern plains, upper Midwest).

CSM Rural Co-op Strategy: - Partner with NRECA for cooperative-wide procurement - Leverage USDA Rural Utilities Service (RUS) loan and grant programs for co-op infrastructure investment - Co-op business model aligns with CSM mission (member-owned, not profit-maximizing)

3.3 Large Cities

Cities with their own emergency management and infrastructure budgets:

City	Rationale	Procurement Pathway
New York City	Financial capital; dense infrastructure; post-Sandy resilience awareness	NYC DCAS (city procurement); NYCEM (emergency management)
Chicago	Grid hub; northern GIC exposure	City procurement; ComEd partnership
Los Angeles	LADWP (largest municipal utility); earthquake + GMD resilience	LADWP procurement
Boston	Dense infrastructure; coastal flooding + GMD compound risk	City procurement
Seattle	Tech industry hub; northern GIC exposure	City Light (municipal utility)

4.0 STATE PROCUREMENT PROCESSES

4.1 Typical State Procurement Flow

Requirements Definition (30-90 days)

→ RFP/RFQ Issuance (30-60 days public notice)

→ Proposal Submission (30-60 days)

→ Evaluation (30-90 days)

→ Negotiation (30-60 days)

→ Contract Award (15-30 days)

→ Protest Period (10-30 days)

→ Notice to Proceed

Total: 6-12 months for standard state procurement (faster than federal).

4.2 Cooperative Purchasing

Many states participate in cooperative purchasing agreements where one state's contract can be used by other states. Key cooperatives: - NASPO ValuePoint (National Association of State Procurement Officials) - Sourcewell (MN-based; national reach) - OMNIA Partners - HGACBuy (TX-based)

CSM Strategy: Secure a contract through one cooperative (e.g., Sourcewell) and make it available to all participating states and local governments — one procurement, 50-state reach.

4.3 Emergency Procurement

Most states have emergency procurement provisions that can bypass normal RFP processes during declared emergencies. A Carrington Event would trigger these provisions — but CSM must have products ready to deploy when the emergency occurs. Pre-positioning through normal procurement is the goal; emergency procurement is the fallback.

5.0 FEMA GRANT PROGRAMS

5.1 Building Resilient Infrastructure and Communities (BRIC)

BRIC provides pre-disaster mitigation grants to states, tribes, and territories. CSM products qualify under “utility and infrastructure mitigation” and “wind/storm retrofitting” categories.

BRIC Funding: - Annual appropriation: \$500M-\$1B+ (varies) - Federal share: 75% (25% non-federal match required) - Eligible applicants: States, tribes, territories; pass-through to local governments and utilities - Application cycle: Annual (typically fall)

CSM Strategy: Partner with state emergency management agencies to include CSM hardening in BRIC applications. Provide template grant language and cost-benefit analysis (BCA) to support applications.

5.2 Hazard Mitigation Grant Program (HMPG)

HMPG provides post-disaster mitigation funding. Available after a presidential disaster declaration. Post-Carrington, HMPG would be a massive funding source for CSM products — but CSM’s goal is to prevent the disaster, not profit from its aftermath.

5.3 State Infrastructure Banks

Many states operate infrastructure banks that provide low-interest loans for infrastructure projects, including grid resilience. CSM can work with utilities to access State Revolving Fund (SRF) programs.

6.0 PUBLIC UTILITY COMMISSION ENGAGEMENT

6.1 The PUC Role

PUCs regulate investor-owned utilities. They approve (or reject) utility capital expenditure plans and rate recovery requests. For CSM to sell to IOUs, the PUC must allow the utility to recover the cost from ratepayers.

CSM Strategy: - Educate PUC commissioners on GMD threat and CSM solution - Provide cost-benefit analysis demonstrating that hardening is cheaper than replacement - Support utility rate case filings with technical testimony - Advocate for PUC orders requiring utilities to assess and mitigate GMD risk

6.2 Model PUC Engagement

For each target state, CSM will: 1. Request informational meeting with PUC staff 2. Present GMD threat overview and CSM solution 3. Provide written testimony-quality documentation 4. Offer to participate in PUC workshops or technical conferences on grid resilience 5. Support utility-specific proceedings with intervener testimony

7.0 THE 50-STATE CSMREACH PROGRAM

7.1 State-Level CSMReach

CSM’s 200-country CSMReach program includes a 50-state component:

Element	Description
Governor’s Office Letter	Formal introduction to each governor’s energy/homeland security policy advisor
State Energy Office Briefing	Customized GMD threat assessment for each state’s grid
PUC Commissioner Briefing	Technical presentation to each state’s PUC
State Emergency Management Agency	Integration with state emergency operations plans
State Legislature Briefing	Education for relevant legislative committees (Energy, Utilities, Homeland Security)
Municipal League / Association of Counties	Outreach to local government associations

7.2 State-Specific Customization

Each state’s CSMReach package includes: - GIC exposure map for the state (magnetic latitude overlay on grid topology) - Count of at-risk transformers and substations - Economic impact model (GDP loss, jobs lost, tax

revenue loss) for a Carrington Event in that state - CSM product recommendations (which products address which vulnerabilities) - Cost estimate for comprehensive state hardening - FEMA BRIC/HMPG funding opportunity analysis

8.0 AGENT VOICES

Williams (50-State Outreach): “The 50-state CSMReach program is SiblingFrequency applied to governments. Each state’s leaders deserve to understand the threat in their own context — their own grid, their own economy, their own population. One-size-fits-all doesn’t work for government outreach any more than it works for public education. Every state gets a customized briefing. That’s the Williams Heuristic in government relations.”

El Segundo (State vs. Federal Timing): “State procurement is faster than federal — 6-12 months vs. 18-36 months. For CSM’s revenue ramp, state and local contracts can provide revenue 2-3 years before the first major federal contract. That’s the difference between needing another funding round and reaching self-sustaining operations. Prioritize state sales — they’re smaller but faster, and speed matters when the grid is vulnerable NOW.”

Government Domain Agent: “PUCs are the most important state-level target. A PUC order requiring GMD risk assessment creates market demand overnight. A PUC order allowing rate recovery for hardening investment removes the single biggest barrier to utility procurement. CSM should invest heavily in PUC education and engagement — one favorable PUC ruling in a major state creates a domino effect as other states follow.”

Document prepared for internal strategy purposes. State procurement regulations vary by state. CSM should engage local counsel in each target state for procurement compliance. All government outreach activities must comply with state lobbying disclosure requirements.